

CBA BOARD MEETING

MINUTES (13.12.2022)

On the Refinancing Rate

**The CBA Board Meeting of December 13, 2022 attended by
CBA**

**Governor M. Galstyan, Deputy Governors N. Yeritsyan and
H. Khachatryan, and Board Members D. Nahapetyan, A.
Manukyan and L. Sahakyan**

The Board meeting opened with presentation of the Situation Report as of December 13, 2022. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy.

Current developments in the external sector were presented. As noted, in the fourth quarter, the trends of low economic activity persisted in the global economy. At the same time, in the main partner countries of Armenia the high inflationary environment still persists, factored by demand and high inflation expectations. In such circumstances, central banks of the developed countries, particularly in the EU, will continue to significantly tighten the monetary conditions with the view to mitigating the impact of energy crisis on inflation. In Russia, the situation is different: a milder decline in economic growth compared to the planned one is expected due to the increase in budget expenditures, which are mostly of capital nature and will have a modest impact on inflation. Therefore, the Bank of Russia will continue to gradually loosen monetary conditions. As a result of consistent monetary actions in developed economies, global demand will weaken to a certain extent, and prices on international commodity markets will decline, contributing to mitigation of the global inflationary environment and the alleviation of inflationary effects spilled over from the external sector.

The Board reviewed developments of the Armenian economy, it was noted that high economic activity continued in the fourth quarter of 2022, mostly due to the high external demand in the services sector. Positive developments were also observed in the construction sector. At the same time, there is an increase in export and GDP potential in the services and industry sectors. Despite the growth of remittances and

disposable incomes, private spending remains subdued and is reflected in the growth of private sector savings, which is mostly observed in enterprises.

The developments of the domestic financial market were reviewed and it was noted that in the fourth quarter, short-term market interest rates shaped around the policy rate. Due to the foreign financial inflow and positive export developments, during the quarter, the dram appreciation trend in the RA foreign exchange market continued. At the same time, in some cases, large-scale financial inflow in foreign exchange market caused possible risks of disruptions, to which the Central Bank responded by intervening in market, buying foreign exchange and contributing to sustainability of the financial market. It was noted that the large-scale inflow of foreign exchange had affected deposit market as well, where, especially since September, a significant growth of foreign exchange deposits took place.

The Board reviewed inflationary developments. Accordingly, in November 2022, 1.1% inflation was recorded over 1.7% in the same month of the previous year. The main contributors of the monthly inflation were food products with 1.6% price growth, non-food products (0.5% growth) and tariffs on services (0.2% growth). ***As a result of these changes, the 12-month inflation dropped to 8.8% at the end of the month. The 12-month core inflation dropped too, totaling 9.9%.*** Furthermore, it was noted that as a result of a certain easing in inflationary effects spilled over from the external sector, dram appreciation and implementation of the contractionary monetary policy, inflationary environment has mitigated to some extent, although the existing high demand and inflationary expectations significantly contribute to the high level of inflation.

After reviewing the Situational report and external and internal macroeconomic developments, the Board proceeded to the discussion of macroeconomic scenarios, monetary policy directions and the decision on policy rate. Forecasting team presented to the Board scenarios of economic development perspectives in the above-described macroeconomic situation, including relevant actions of monetary policy under the scenarios of high and low inflation. The Board members concurred that due to the significant contractionary monetary policy conducted by the central banks of the main trade partners of Armenia, inflationary effects spilled over from the external sector have weakened to some extent. Moreover, individual members of the Board considered that the weak demand and deflationary trends spilled over from the external sector, a certain growth of the supply potential in the real sector, together with the previous monetary

operations of the Central Bank of Armenia created sufficient grounds for the realization of the medium-term inflation goal. However, on the other hand, in the opinion of the majority of the members of the Board, despite the weakening of inflationary impulses from the external sector, the high demand and inflationary expectations persisting in the domestic economy contain significant monetary risks, therefore, given the priority of their management, they considered it necessary to continue consistent tightening of the monetary policy. Subsequently, ***the Central Bank Board decided by the majority of votes to raise refinancing rate by 0.25 percentage points.*** To this end, the Board emphasized its tenacity in ensuring stabilization of inflation with adequate actions and neutralizing any risk of deanchoring inflationary expectations. According to the outlined monetary policy scenario, the 12-month inflation will gradually decline and stabilize around the 4% target in the medium-term horizon.

The Board estimates that the risks of inflation deviation from the projected trajectory are mainly balanced. In case the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON ESTABLISHMENT OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF ARMENIA AND PRESS RELEASE ON REFINANCING RATE

By virtue of Article 2(3), Article (20) “c” and “e” of the law “On the Central Bank of the Republic of Armenia”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Central Bank of the Republic of Armenia enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 10.75%.
2. Set the Lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 12.25%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 9.25%.
4. Approve the press release on the refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
December 13, 2022

PRESS RELEASE
13.12.2022

At the December 13, 2022 meeting, the Board of the Central Bank of Armenia (CBA) decided to raise the refinancing rate by 0.25 pp to 10.75%.

In November 2022, the 12-month inflation decreased to 8.8%. The 12-month core inflation reduced as well, reaching 9.9%.

Global economic activity continues slowing. However, the inflationary environment in Armenia's main partner countries still persists driven by expanded demand and high inflation expectations. Therefore, the central banks of developed countries will continue to tighten monetary conditions in the near future. Consistent tightening of monetary conditions in partner countries will contribute to the weakening of global demand and some downward price adjustment in international commodity markets. Subsequently, the inflationary effects on the Armenian economy from the external sector are expected to weaken.

In the fourth quarter of 2022, high activity in the Armenian economy persists. Elevated external demand continues to contribute the higher growth in the services sector. At the same time, an increase in export and GDP potential is observable in the services and industry sectors. The growth of prices of imported food products is somewhat slowing down as a result of the contractionary monetary policy, the dram appreciation, as well as the effects spilled over from the external environment. This helps to mitigate the overall inflationary environment. Nevertheless, the impact of sustained high demand and high inflation expectations still plays a significant role in the dynamics of inflation.

The Board of the CBA finds it reasonable to raise the policy rate. The Board of the CBA will be committed to taking adequate actions to stabilize inflation and offset any risk of deanchoring inflation expectations. According to the outlined monetary policy scenario, the 12-month inflation will gradually decline and stabilize around the 4% target in the medium run.

The Board of the CBA estimates that the risks of inflation deviation from the projected path are mainly balanced; should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

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